

his disapprobation of charging the executor with a higher rate of interest by way of *penalty*; and laid it down that an executor was chargeable only with the interest which he had received, *or* which he ought to have received, *or* which it was so fairly to be presumed that he had received that he was estopped from saying that he did not receive it. And it was subsequently observed by V. C. Wood that there were three cases where the Court charged more than 4 per cent. upon balances in the hands of a trustee:—1. Where he *ought* to have received more, as by improperly calling in a mortgage carrying 5 per cent.; 2. Where he had *actually received* more than 4 per cent.; and 3. Where he must be *presumed* to have received more, as if he had traded with the money (*d*).

But in a subsequent case, Lord *Cranworth offered [*342] some explanatory remarks (*a*) upon the notions imputed to him; L. J. James, however, in a recent case (*b*) approved of the doctrine thought to have been laid down by Lord Cranworth, viz., that the Court had no jurisdiction to punish an executor for misconduct by making him account for more than he actually received, or which it presumed he did receive, or ought to have received, and that the Court was not a Court of penal jurisdiction.

15. **Money used in trade.**—Where money has been employed in trade, the *rate of* interest has been almost invariably 5 per cent. (*c*), the Court presuming every business to yield a profit to that amount. But Lord Thurlow, in one case, offered an inquiry whether, under the circumstances,

(*d*) Penny *v.* Avison, 3 Jur. N. S. 62; and see Burdick *v.* Garrick, 5 L. R. Ch. App. 233; [Price *v.* Price, 42 L. T. N. S. 626; but see *Re Jones*, 49 L. T. N. S. 91, where the executors and trustees were charged 5 per cent. on the balance in their hands, V. C. Bacon observing that if a man choose not to invest money, but pays it into his account at his bankers, he borrows it, and must pay 5 per cent. from the date of the payment of the testator's debts and liabilities.]

(*a*) Mayor of Berwick *v.* Murray, 7 De G. M. & G. 519; and see Townsend *v.* Townend, 1 Giff. 212.

(*b*) Vyse *v.* Foster, 8 L. R. Ch. App. 333, affirmed 7 L. R. H. L. 318. But see *Ex parte Ogle*, 8 L. R. Ch. App. 716.

(*c*) Treves *v.* Townshend, 1 B. C. C. 384; Roche *v.* Hart, 11 Ves. 61, *per* Sir W. Grant; Heathcote *v.* Hulme, 1 J. & W. 122, see 134; Attorney-General *v.* Solly, 2 Sim. 518; Mousley *v.* Carr, 4 Beav. 53, *per* Lord Langdale; Westover *v.* Chapman, 1 Coll. 177; Williams *v.* Powell, 15 Beav. 461; Robinson *v.* Robinson, 1 De G. M. & G. 257; Burdick *v.* Garrick, 5 L. R. Ch. App. 233.